SUMMARY · MK 2 FINANCIAL MANAGEMENT & STRATEGY · WEEK 1

# Foundations of Financial Management & Accounting

Week one joins finance and accounting. Finance asks the economic question, accounting records the evidence, statements communicate the result. You learn the firm's goal, the financial manager's three decisions, four connected statements and the accounting cycle.

## Material

### 1 The bridge: decisions → records → reports → decisions

Managerial decision → Transaction evidence → Accounting process → Financial insight → next decision

Don't memorize statements as separate documents — each is one view of the same business events.

### 2 What is finance, and what is the firm's goal?

**Finance** is the science and art of managing money. The goal: **maximize long-term shareholder wealth** — not this year's profit; risk-adjusted, cash-flow oriented, ethical and fair to stakeholders.

| Project | Y1 | Y2 | Y3 | Total EPS |
|---|---|---|---|---|
| Rotor | $1.40 | $1.00 | $0.40 | $2.80 |
| Valve | $0.60 | $1.00 | $1.40 | $3.00 |

Valve isn't automatically better: Rotor pays earlier (time value), and profit ignores **timing, cash flow and risk**.

## 3 The financial manager's three decisions and guiding principles

1. **Investment** (capital budgeting) → assets.
2. **Financing** (capital structure) → liabilities & equity.
3. **Working capital** → current assets & liabilities.

Principles: time value of money; cash is king; market signals; risk–return trade-off; incentives (agency problems). Always ask: what's the cash flow, when, how risky, who reports it?

**Accrual vs cash:** a $1m yacht sold on credit with $800k cost paid now gives $200k profit but a cash outflow until collection.

## 4 Accounting: the reporting language of business

Accounting: **identify, record, communicate** — an information system, not just bookkeeping. Users: internal and external.

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ASSETS = LIABILITIES + EQUITY
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Every transaction keeps it balanced. Equity rises with owner investment, revenue, gains; falls with expenses, losses, dividends. Net income = Revenue – Expenses, flowing into retained earnings.

## 5 Four statements as one story

| Statement | Formula |
|---|---|
| Income | Revenue – Expenses = Income |
| Changes in equity | Opening + Income – Dividends = Closing |
| Cash flows | Operating + Investing + Financing = Δ Cash |
| Financial position | Assets = Liabilities + Equity |

**Income statement:** performance over a period; limitations (estimates, methods); earnings quality. MiniMart: Sales 1,200 – COGS 720 = GP 480 – S&A 260 = Operating income 220 – interest 40 – tax 45 = NI 135.

**Balance sheet:** snapshot at a date; historical cost and unrecognized value limit it; current vs non-current; equity is a residual claim, not cash.

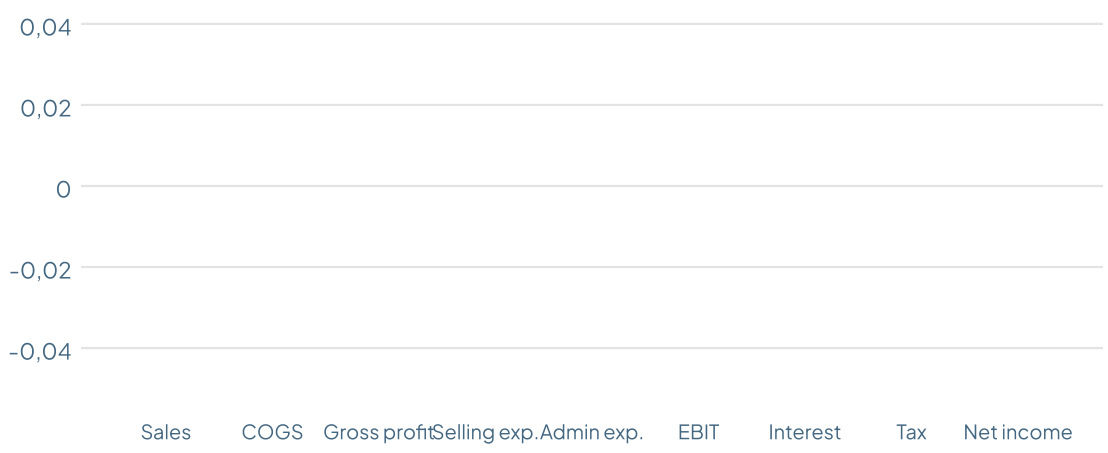
**Cash flows:** operating, investing, financing. Indirect method: NI ± non-cash items ± working-capital changes. Free cash flow = OCF – capex – dividends.

## 6 The multi-step income statement in one chart

Deep dive

The income statement is a staircase from sales down to net income (class exercise, IDR m).

**Income statement waterfall (IDR m)**




Green/blue = subtotals; red = deductions.

| Layer | Result | % of sales |
|---|---|---|
| Gross profit | 380 | 40.0% |
| EBIT | 165 | 17.4% |
| EBT | 140 | 14.7% |
| Net income | 105 | 11.1% |

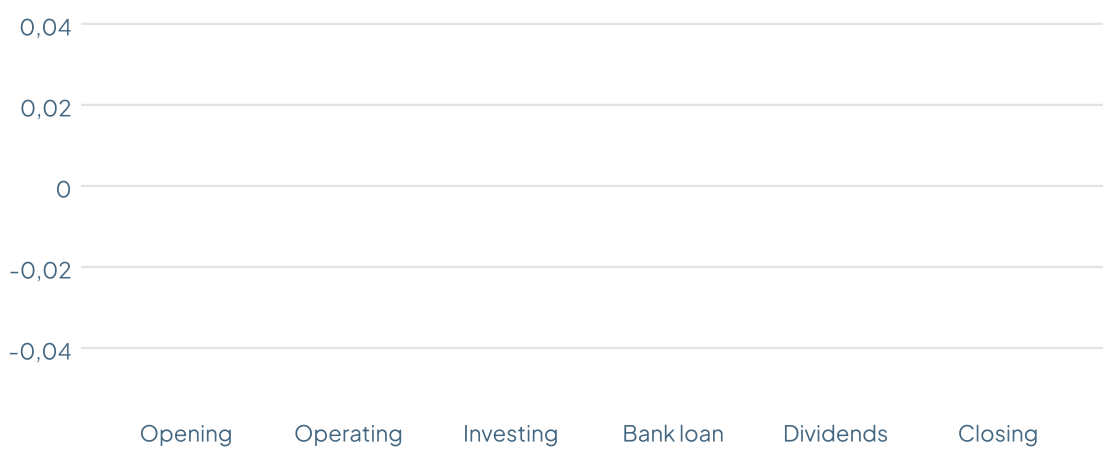
## 7 How the numbers connect (MiniMart)

NI 135 → retained earnings (210 + 135 – 45 = 300) → equity. Ending cash 160 (60 + 185 – 260 + 220 – 45) → balance sheet. Assets 1,200 = Liabilities 600 + Equity 600 ✔. Negative investing cash flow isn't bad for a growing firm; operating cash flow matters most for sustainability.

## 8 From opening to closing cash: the MiniMart story Deep dive

The cash flow statement explains why cash changed: 60 opening, +185 operations, –260 investing, +220 borrowing, –45 dividends = 160 closing.

**MiniMart cash bridge**




**Operating +185**
Healthy core.

**Investing –260**
Expansion.

**Financing +175**
Debt-funded growth.

**MiniMart retained earnings reconciliation**




## 9 The 9-step accounting cycle

1. Analyze transactions (double entry)
2. Journalize
3. Post to ledger
4. Unadjusted trial balance
5. Adjusting entries (accruals, deferrals, depreciation) — balanced ≠ correct
6. Adjusted trial balance
7. Financial statements
8. Closing entries (temporary accounts → retained earnings)
9. Post-closing trial balance

Operating cycles (revenue, purchases, inventory, fixed assets) feed it; separate authorization, recording and custody. Finance sets the objective; accounting supplies the evidence.

## Key takeaways

1. Goal: long-term shareholder wealth, not short-term profit.
2. Profit misses timing, cash flow and risk.
3. Three decisions: investment, financing, working capital — all on the balance sheet.
4. Assets = Liabilities + Equity; every transaction keeps balance.
5. Four statements are four views of one story; chase the same number across them.
6. Profit ≠ cash; operating cash flow is key to sustainability.
7. Cycle: analyze → journalize → post → trial balance → adjust → report → close.

## Case studies

Case & worked answers

### In-class exercises — with answers

**Mini exercise:** GP = 380; operating income = 165; NI = 105; interest is financing; ask how much of sales was collected in cash.

**Set 2:** owner cash/borrowing/dividends → financing; equipment → investing; credit sales and supplier payments → operating.

**Set 3:** ending RE = 300; Δcash = +100; ending cash = 160 — both tie to the balance sheet. Story: healthy operating cash plus a bank loan funded 260 of equipment; lenders will check future operating cash covers repayments.

## Worked examples

**Problem 1** **Easy** **Persamaan akuntansi**

Neraca PT Sinar menunjukkan total aset Rp850 juta dan total liabilitas Rp320 juta.

(a) Berapa ekuitasnya? (b) Perusahaan lalu membeli mesin Rp100 juta: Rp40 juta dibayar tunai, sisanya utang. Berapa aset, liabilitas, dan ekuitas setelah transaksi?

1. Pakai rumus dasar:

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   Aset = Liabilitas + Ekuitas → Ekuitas = Aset - Liabilitas
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2. (a) Ekuitas = 850 − 320 = **Rp530 juta**.

3. (b) Catat dampak transaksi: mesin (aset) **+100**, kas (aset) **−40**, utang (liabilitas) **+60**. Ekuitas tidak berubah karena tidak ada pendapatan/beban atau setoran pemilik.

4. Aset = 850 + 100 − 40 = 910. Liabilitas = 320 + 60 = 380. Ekuitas = 530.

5. Cek keseimbangan: 380 + 530 = 910 ✓

**Answer:** (a) Ekuitas Rp530 juta. (b) Aset Rp910 juta = Liabilitas Rp380 juta + Ekuitas Rp530 juta.

Problem 2 Medium **Laba rugi dan laba ditahan**

Data setahun (Rp juta): pendapatan 1.200; HPP 700; beban operasi 250; beban bunga 30; tarif pajak 22%. Dividen dibagikan 60. Laba ditahan awal tahun 400.

Hitung laba bersih dan laba ditahan akhir tahun.

1. Laba kotor = 1.200 – 700 = 500.
2. EBIT (laba operasi) = 500 – 250 = 250.
3. Laba sebelum pajak (EBT) = 250 – 30 = 220.
4. Pajak = 22% × 220 = 48,4 → Laba bersih = 220 – 48,4 = **171,6**.
5. ```
   Laba ditahan akhir = Laba ditahan awal + Laba bersih - Dividen
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   = 400 + 171,6 – 60 = 511,6.

**Answer:** Laba bersih Rp171,6 juta; laba ditahan akhir Rp511,6 juta.
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Problem 3 Medium **Arus kas operasi (metode tidak langsung)**

Laba bersih Rp171,6 juta. Penyusutan Rp50 juta. Selama tahun ini piutang naik Rp30 juta, persediaan turun Rp20 juta, dan utang usaha naik Rp15 juta. Berapa arus kas operasi?

1. Mulai dari laba bersih: 171,6.
2. Tambahkan beban non-kas: + penyusutan 50.
3. Aset lancar *naik* = kas tertahan → dikurangi. Piutang naik 30 → −30. Aset lancar *turun* = kas lepas → ditambah. Persediaan turun 20 → +20.
4. Liabilitas lancar naik = kas belum keluar → ditambah. Utang usaha naik 15 → +15.
5. OCF = 171,6 + 50 − 30 + 20 + 15 = **226,6**.

**Answer:** Arus kas operasi Rp226,6 juta — lebih besar dari laba bersih karena penyusutan dan perubahan modal kerja.

## Practice questions

Try answering first. The answer key is below each question.

**1. Sales 950, COGS 570, selling 120, admin 95. EBIT = …**

A. 380
B. 165
C. 140
D. 105

**Answer: B.** 380 − 215 = 165.

**2. Buying equipment for cash belongs to…**

A. Operating
B. Investing
C. Financing
D. Not a cash flow

**Answer: B.** Long-term asset purchase = investing.

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**3. Paying dividends is a…**

A. Operating
B. Investing
C. Financing
D. Revenue

**Answer: C.** Transactions with owners = financing.

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**4. Opening RE 210, net income 135, dividends 45. Closing RE…**

A. 300
B. 345
C. 390
D. 255

**Answer: A.** 210 + 135 – 45 = 300.

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**5. The firm's main goal in finance is…**

A. Maximise this year's profit
B. Maximise shareholder wealth ethically over the long run
C. Maximise sales
D. Minimise tax

**Answer: B.** Profit ignores timing, risk and cash.

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### Sources

- -P3MD- Materi Week 1 - MK2.pdf (gabungan dari MM5007 Week 1 bagian 1 & 2)